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Haverhill

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September 15, 2026

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HAVERHILL CITY CLERK

To The Honorable City Council

Attached are the revenue and expense reports through August 2026.

The general fund revenue shows a year-over-year increase of 3.6%, which is down from 7.24% in August of last year. As anticipated, investment income has decreased due to the reduction in invested ARPA funds and borrowing proceeds. This decline in investment earnings was incorporated into the 2027 operating budget, so year-to-date results are on target. Overall, the general fund revenue is slightly below its year-to-date collection benchmark of 20%, currently standing at 19.9%.

The general fund operating budget is progressing as planned; however, in 2027, the city has significantly reduced its operating reserves due to budget constraints. As we navigate these challenging financial conditions, it is essential for all city departments to manage budgets accurately, given the limited capacity to accommodate unexpected expenses.

As discussed in the recent department head meeting, the Mayor has extended the budget freeze on all discretionary purchases until further notice. To support this process, we have implemented a prior-approval system for all travel and training initiatives, managed through an electronic approval system. City departments have shown remarkable collaboration during this time, resulting in exceptional outcomes across the board. In 2026, \$2.2 million in combined departmental appropriations was returned, which will contribute to the city's free cash to be certified in the coming months. As with previous years, a portion of this free cash will be allocated to fund high-priority capital projects, as reviewed during the 2027 budget process.

Sincerely,

Angel A. Perkins, CPFO, CGA, CFE
Chief Financial Officer & City Auditor